

Award
FINRA Dispute Resolution Services

In the Matter of the Arbitration Between:

Claimant

Melissa Smitley and
Pamela Rose

Case Number: 25-01049

vs.

Respondent

Eric Michael Luckey

Hearing Site: Pittsburgh, Pennsylvania

Awards are rendered by independent arbitrators who are chosen by the parties to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Customers vs. Associated Person

This matter proceeded pursuant to Rule 12800 of the Code of Arbitration Procedure (“Code”). The customers did not request a hearing.

REPRESENTATION OF PARTIES

Claimants Melissa Smitley and Pamela Rose (collectively, “Claimants”) appeared pro se.

Respondent Eric Michael Luckey (“Respondent”) appeared pro se.

CASE INFORMATION

Statement of Claim filed on or about: May 22, 2025.

Claimants signed the Submission Agreement: June 18, 2025.

Statement of Answer filed on or about: August 4, 2025.

Respondent signed the Submission Agreement: August 4, 2025.

CASE SUMMARY

In the Statement of Claim, Claimants asserted claims relating to Respondent’s handling of their late father’s IRA account. Claimants alleged that, after their father’s passing, his money continued to be invested without Claimants’ permission, resulting in a loss on the account.

Unless specifically admitted in the Statement of Answer, Respondent denied the allegations made in the Statement of Claim.

RELIEF REQUESTED

In the Statement of Claim, Claimants requested the total loss on the account, totaling \$7,746.00.

In the Statement of Answer, Respondent requested that the allegations against him be dismissed.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrator acknowledges having read the pleadings and other materials filed by the parties.

On September 5, 2025, Respondent filed a Motion for Expungement. On the same date, Respondent was notified that the request for expungement was deficient. On September 12, 2025, Respondent withdrew the deficient request for expungement.

On September 12, 2025, Respondent filed a Request for Dismissal, asserting that compliance with bureaucratic requirements was sufficient, to which no response was filed. Herein, the Arbitrator denies the motion.

The Arbitrator has provided an explanation of the decision in this award. The explanation is for the information of the parties only and is not precedential in nature.

EXPLAINED DECISION

Respondent wrote in his papers that decedent had been his client for twenty-five years. A fundamental precept of representation is "Know Thy Customer." Upon receipt of the death notice of his client, Respondent should have telephoned or emailed one or both of the decedent's surviving daughters. He should have informed them that for starters, a copy of letters of administration should be provided. At that point, Respondent or his firm should have outlined to the now customers (Claimants) the process that lied ahead and what that process required. He did none of the foregoing. To boot, the firm's office manager failed to mail needed forms to the decedent's daughters. Earlier, Respondent should have asked for directions: should he freeze the account? Liquidate the account? A question exists as to whether a freeze is a trade, but that should have been resolved in discussions with the estate's personal representative.

Overall, this is a defense based upon a welter of bureaucratic requirements laid one atop another, after another, after another. Requiring Claimants to travel to obtain a death certificate or to obtain a medallion guarantee of their signatures takes time, effort, and expense. Respondent should have enabled Claimants to get an early start on obtaining those items.

I award to Claimants, jointly, \$5,333.43, the differential between the date of their father's death and the reduced payout eventually sent.

AWARD

After considering the pleadings, the Arbitrator has decided and determined in full and final resolution of the issues submitted for determination as follows:

1. Respondent is liable for and shall pay to Claimants, jointly, the sum of \$5,333.43 in compensatory damages.
2. Any and all claims for relief not specifically addressed herein, including any requests for punitive damages, treble damages, and attorneys' fees, are denied.

FEES

Pursuant to the Code:

1. Stonex Securities Inc. has paid to FINRA Dispute Resolution Services the \$360.00 Member Surcharge previously invoiced.
2. FINRA Dispute Resolution Services administratively waived Claimants' filing fee of \$325.00. *

**The filing fee is made up of a non-refundable and a refundable portion.*

All balances are payable to FINRA Dispute Resolution Services and are due upon receipt.

ARBITRATOR

Douglas M. Branson

-

Sole Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm that I am the individual described herein and who executed this instrument, which is my award.

Arbitrator's Signature

Douglas M. Branson

Douglas M. Branson
Sole Public Arbitrator

11/11/2025

Signature Date

Awards are rendered by independent arbitrators who are chosen by the parties to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

November 11, 2025

Date of Service (For FINRA Dispute Resolution Services use only)